UNIT IX THE INDIAN CONTRACT ACT

CHAPTER 31

DISCHARGE AND BREACH OF A CONTRACT

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Learning Objectives

To enable the students to

i. Understand the circumstances under which a contract is said to be discharged.

ii. Analyse the impossibility of performance as a mode of discharge of contract.

iii. Perceive the breach of contract as a mode of discharge of contract.

iv Absorb the remedies available to an aggrieved party on the breach of contract.

31.01 Discharge of Contract

Discharge of contract implies termination of the contractual relationship between the parties. A contract is discharged if it ceases to operate and when the rights and obligations created by it come to an end. Sometimes, other rights and obligations may arise as a result of discharge of the contract. These are independent of the original contract.

Modes of Discharge Of Contract

Different modes of discharge of contract have been provided under different sections of the Act.

1. Discharge by Performance

Performance implies carrying out the obligation of the contract. Performance must be completed according to the real intentions of the agreement. Performance must be done according to time and manner prescribed.

Performance of contract may be of two types namely

(i) Actual performance

(ii) Attempted performance

2. By Agreement on Consent

Agreement between the parties comes to an end by mutually agreeing for it. Any contract is created by an agreement, hence in the same way, it can be discharged by an agreement. In this connection the rule of law is as follows. "*Eodem modo qus and quide constituitor, eodem modo destruitur*," the meaning of which is that a thing may be destroyed in the same manner, in which, it is constituted. The consent may be of the following types

(i) ***Express:*** Express consent may be given at the time of formation of the contract or subsequent to its formation

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